Executive Summary

The objective of this project was to analyze customer behavior for a D2C nutrition brand and identify opportunities to improve customer retention and profitability. A cleaned dataset containing 3,863 customer records was used to perform segmentation, feature engineering, SQL analysis, and dashboard development.

The analysis showed that the average purchase amount is approximately $60 per order. Most customers belong to the Silver and Bronze value tiers, while a smaller group of Gold, Platinum, and Diamond customers contributes high value to the business. Customer satisfaction levels are generally positive, with High and Medium satisfaction accounting for the majority of customers.

Customer segmentation revealed that loyal customers with higher previous purchases and active subscriptions exhibit stronger engagement and are less dependent on promotional incentives. More than half of the customers have a low dependency on discounts and promo codes, indicating an opportunity to improve margins by gradually reducing promotional spending for these segments.

Based on these findings, a promotional sunset strategy is recommended for customers with low dependency scores, active subscriptions, and high purchase history. Discounts should be reduced gradually while monitoring repeat purchase rates and customer retention to ensure that revenue remains stable. Although some price-sensitive customers may reduce their purchasing frequency, lower promotional expenses are expected to improve overall profitability.

The ideal customer profile for the brand consists of highly engaged customers who make frequent purchases, maintain active subscriptions, exhibit high satisfaction levels, and belong to premium value tiers. Marketing efforts should focus on acquiring and retaining similar customers through personalized campaigns, subscription programs, and premium product offerings.

Overall, the analysis suggests that focusing on high-value customer segments and optimizing promotional strategies can enhance customer lifetime value, improve profit margins, and support sustainable long-term growth for the brand.